

HOW IT WORKS: THE W-4, YOUR PAYCHECKS, AND TAXES

Izzie and Shea have just graduated from college and started their careers. Go, Izzie and Shea. They have both landed solid jobs and have taxable incomes of \$50,000 per year. Not only do they have the same taxable income, but they are both single, have no children, and will claim the standard deduction.

Izzie has read this book and knows how to calculate the amount she should owe in federal income taxes based on her salary. Shea, unfortunately, has not read this book and just hopes that her employer is withholding the correct amount.

Izzie does some quick calculations and finds that she is going to owe about \$6,790 in federal income taxes based on her salary. She has already received a few paychecks, and sees she is having \$275 withheld for federal income taxes from each paycheck and will receive 26 paychecks over the course of the year. Finally, she knows she can determine whether or not she is on pace for a refund or a bill from the IRS by multiplying the amount of money withheld from each paycheck (\$275) by 26. This number should be very close to the \$6,790 that she has calculated.

Table 7.2. Example of withholding an acceptable amount for taxes

Izzie's amount owed in taxes	Izzie's amount paid in taxes	Izzie's refund from the IRS
\$6,790	\$7,150	\$360

Table 7.2 shows Izzie has done pretty well and only overpaid her taxes by \$360, which will be refunded to her when she files.